

Negrete v Nazli [2024] DIFC SCT 459

JUNE 23, 2025 SCT - JUDGMENTS AND ORDERS

Claim No: SCT 459/2024

THE DUBAI INTERNATIONAL FINANCIAL CENTRE COURTS

IN THE SMALL CLAIMS TRIBUNAL

BETWEEN

NEGRETE

Claimant/Applicant

and

NAZLI

Defendant/Respondent

ORDER WITH REASONS OF H.E. JUSTICE SAPNA JHANGIANI

UPON reviewing the Judgment of H.E. Justice Maha Al Mheiri (the “Judge”) dated 17 April 2025 (the “Judgment”)

AND UPON reviewing the Claimant’s Appeal Notice dated 30 April 2025 seeking permission to appeal the Judgment (the “Permission to Appeal Application” or the “Application”)

AND UPON reviewing the Respondent’s response to the Appeal Notice dated 22 May 2025

AND UPON considering the documents and submissions filed by both parties and recorded on the case file

AND UPON hearing the parties at the hearing on 17 June 2025 (the “Hearing”)

IT IS HEREBY ORDERED THAT:

- 1. The Permission to Appeal Application is granted only in relation to the following aspects of the Claimant’s claim (as defined in the Schedule of Reasons below):

- (a) Wrongful termination;
- (b) Notice Period;
- (c) Visa and Emirates ID;
- (d) Holiday Leave;
- (e) Employment Record;
- (f) Additional Compensation; and
- (g) Investigation.

2. Save as aforesaid, the Permission to Appeal Application is refused.

3. There shall be no order as to costs.

Issued by:

Delvin Sumo

SCT Judge and Assistant Registrar

Date of Issue: 23 June 2025

At: 9am

SCHEDULE OF REASONS

Introduction

1. By an Appeal Notice dated 30 April 2025, the Claimant and intending Appellant seeks permission to appeal the Judgment of 17 April 2025 of H.E. Justice Maha Al Mheiri (the “Judgment”), sitting in the Small Claims Tribunal (the “SCT”).

2. The Claimant was employed by the Defendant, a hotel within the DIFC, Dubai, UAE, pursuant to an employment contract dated 14 September 2021 (the “Contract”) in which his position was stated to be a Server Assistant. The Claimant’s employment commenced on 17 October 2021 and he was paid a monthly salary of AED 1,854. On 27 September 2024, the Defendant terminated the Claimant’s employment with cause, with immediate effect.

3. The Defendant states that its reasons for terminating the Claimant’s employment are that he: (i) smoked in a non-designated area; (ii) was absent from work without authorisation; and that he (iii) consumed beverages designated for paid customers. It has adduced a signed statement from the Claimant admitting that he smoked in a non-designated area and made a mistake.

4. The termination letter dated 27 September 2024 which was issued to the Claimant states as follows:

“Despite being under a Final Warning for behavioural issues, Negrete’s repeated unauthorized absences continue to intensify both behavioral and attendance concerns. The F&B management team, along with the P&C team, has closely monitored Negrete’s behaviour and attendance

issues, providing him with coaching sessions to address these concerns.

However, even after these interventions, Negrete has failed to demonstrate significant progress towards meeting the standards expected by the Nazli Hotel at DIFC.

Based on the above, the management of the hotel has decided to terminate Negrete's [sic] employment, effective today September 27, 2024."

5. The Claimant's perspective is set out below:

a) The Claimant contends that he was assaulted by his manager in his workplace in July 2024, and the incident was fully documented in a report by hotel security and in surveillance footage. He asserts that he was asked to drop the matter in exchange for promises of a neutral working environment.

b) He states that, while he was still dealing with the aftermath of the alleged assault, he was injured at work on 22 August 2024. The medical reports show that his foot and ankle were injured when a trolley ran over his foot.

c) The Claimant's position is that when he returned to work after his injury, he noticed an error in his working hours for 19 September 2024. On that date, the Claimant had worked through his lunch break and left early. The Defendant contends that the Claimant left work an hour early that day, without his manager's permission. The Claimant was summoned to a meeting on 23 September, at which HR informed him that he should either resign or request a transfer, and it was agreed he should take two days off work to think about it.

d) The Claimant elected to continue working, and was asked to leave the premises when arriving for work on 26 September 2024. He was called to a meeting on 27 September 2024 and handed a termination letter filled with what he considered to be unfounded accusations.

e) The Claimant asserts that he experienced unfair treatment, neglect and disregard for his well-being, and this has affected his career, and mental and emotional health.

6. On 10 October 2024, the Claimant filed a claim in the SCT claiming various remedies mainly pursuant to DIFC Law No.2 of 2019 (DIFC Employment Law), as amended by later legislation (including DIFC Law No. 4 of 2021). The relief sought by the Claimant is as follows:

a) **NOC:** NOC to file a formal complaint with Dubai Police against the individual who harassed him, and against the HR department for failing to address the incident, pursuant to Articles 43 and 59 of DIFC Employment Law.

b) **Wrongful termination:** AED 27,810 compensation for wrongful termination pursuant to Article 60 of DIFC Employment Law. The damages claimed are for career loss, reputational damage and emotional harm "caused by victimization and false allegations for the last 3 months".

- c) **Notice Period:** AED 1,854 compensation for 1 month notice period (the notice period for termination without cause under Article 62(2)(b) of DIFC Employment Law being 30 days for employment of 3 months to 5 years).
- d) **End of Service Gratuity:** AED 3,893.40 as end of service gratuity.
- e) **Work-Related Injury :** AED 2,374 as compensation of up to two years of annual wages for work-related injury and lack of support post-accident. The Claimant claims that the Defendant breached its duty under Article 43 of the DIFC Employment Law to ensure the health, safety and welfare at work of all its Employees, and also relies upon Article 55 under which an employee may be entitled to damages of up to two years' wages if injury is sustained as a result of a workplace accident due to employer negligence.
- f) **Harassment, Discrimination and Mistreatment :** AED 24,102 as compensation for emotional distress caused by harassment, discrimination, and mistreatment during employment. The Claimant relies upon Article 59(2) of DIFC Employment Law, under which discrimination occurs when an employee is treated less favourably than others or is subjected to unwanted conduct that creates a hostile, humiliating or offensive work environment. The Claimant also relies upon his Contract which expressly prohibits any form of violence or harassment, and on Article 14 of Federal Decree Law No. 33 of 2021.
- g) **Visa and Emirates ID :** AED 3,592.60 as compensation for the Defendant's failure to renew the Claimant's visa and Emirates ID, based on a reasonable estimate of the financial disruption caused to the Claimant.
- h) **Holiday Leave :** reimbursement for unused vacation and public holidays wrongfully deducted or denied pursuant to Articles 32 and 33 of DIFC Employment Law.
- i) **Employment Record :** clearance from his employment record of negative or unfair remarks due to his wrongful termination and harassment, to prevent an impact on his future employment. The Claimant asserts that a highly positive reference had been offered to him by the Regional Director of HR, Ms Nyla, if he agreed to resign instead of signing his termination letter, as an acknowledgment of his contributions and dedication over the three years that he was part of the company.
- j) **Medical Expenses:** reimbursement for medical expenses resulting from workplace incidents. The Claimant relies upon Article 37 of Federal Decree No. 33 of 2021 which mandates that an employee must bear the full cost of treatment for any work-related injury until the employee recovers and returns to work, and also relies on Articles 22 and 23 of Cabinet Resolution No. 1 of 2022.
- k) **Additional Compensation :** Compensation for legal violations related to unpaid overtime, improper work breaks pursuant to Articles 26, 32 and 34 of DIFC Employment Law.

l) **Role Change:** The Claimant claims his role changed to that of a bartender on 2 June 2024. The role was initially communicated to be for a temporary two-week period, but the role continued from 19 June 2024 until the date of termination. The Claimant claims compensation for unlawful role change and performance of additional duties outside his original role, without formal documentation or agreement, pursuant to Article 14 of DIFC Employment Law.

m) **Investigation :** Investigation into harassment and cover-up by the HR department, with proper disciplinary actions to prevent future incidents. The Claimant did not specify which provision of DIFC Employment Law was breached.

The Judgment

7. The Judgment found as follows:

a) **NOC:** there was no legal or procedural barrier preventing the Claimant filing a formal complaint with the Dubai Police.

b) **Wrongful Termination:** the learned Judge was satisfied that the Claimant's actions constituted clear violations of company regulations and DIFC Employment Law:

i. In relation to the Claimant's smoking in a non-designated area, the learned Judge was not convinced by the Claimant's explanation that he smoked in a non-designated area because it took 30 minutes to walk to a designated smoking area. Further, and in any event, she did not consider that this would justify his smoking in unauthorised areas.

ii. In relation to the Claimant's alleged unauthorised absences from work, the learned Judge noted that there had been a misunderstanding arising from the Claimant being informed at the meeting on 23 September that he should take off two days. The Claimant thought that the two days excluded his day off on 24 September, whereas the Defendant included that day within the given two days. This resulted in the Defendant marking the Claimant absent without reason from work on 25 September. The Judgment then found as follows:

“At the Hearing, the Defendant explained that the Claimant was called to a meeting with his manager on Monday 23 September 2024, which the Claimant failed to attend and arrived at the premises 2 hours after the designated time. Consequently, the Defendant communicated to the Claimant to take 2 days off to think about how he wishes to proceed with the company either resignation or transfer. The Claimant failed to attend his work shift after the meeting with the Defendant, so the Defendant considered the Claimant absent from work on 23 September 2024.

On Tuesday 24 September 2024, it was the Claimant's official day off from work, and on 25 September 2024 the Defendant messaged the Claimant to ask if he is attending work or not, which he responded that he is outside of Dubai. On 26 September 2025, the Claimant tried to attend work to which the Defendant's security denied him access to the hotel.

The Court agrees with the Defendant's position that these actions, alongside the Claimant's unauthorized absences from work without proper notice or approval, warranted immediate termination in line with Article 63(1)."

c) **Notice Period:** whilst the Judgment did not specifically make a decision on this issue, it would follow from the decision that the Claimant's termination with cause was justified, that he would not be entitled to 1 month's notice period.

d) **End of Service Gratuity:** the learned Judge rejected this aspect of the Claimant's claim on the basis that (i) the Claimant had been registered with the DIFC Employee Workplace Savings (DEWS) plan, which manages the end-of-service benefits of each DIFC employee; and (ii) the Defendant had been consistently transferring monthly contributions, including AED 3,787.46 as part of the end of service gratuity reflected in the Claimant's final settlement calculation.

e) **Work-Related Injury:** the learned Judge rejected the Claimant's claim for damages under Article 55 because there was no evidence that the Claimant suffered from a permanent injury, or that the injury resulted from the negligence of the Defendant.

f) **Harassment, Discrimination and Mistreatment:** the learned Judge rejected the Claimant's claim for damages on the basis that the Claimant failed to provide any evidence to substantiate either the existence of the Defendant's conduct, or its impact on him. She emphasised that in claims involving emotional distress or psychological harm, it is crucial to prove both the conduct and the fact that it resulted in identifiable harm warranting compensation.

g) **Visa and Emirates ID:** the learned Judge found that the Claimant's request for compensation cannot be justified as he was terminated by the Defendant and there was no reason to renew the Emirates ID; further that the Claimant failed to provide clear and convincing evidence to support any monetary claims before the Court.

h) **Holiday Leave:** the learned Judge found that the Defendant "did deduct from the Claimant's salary the additional days off that were acquired by the Claimant" and that the Claimant's days off were calculated until the last day being 27 September 2024. The learned Judge dismissed the Claimant's claim for unused vacation and public holidays.

i) **Employment Record:** the learned Judge found that the employer has a right and responsibility to maintain an accurate record of an employee's history, and that such a record is essential to ensure transparency and accountability and both protects the integrity of the organisation and supports the fair treatment of employees. Further, the Judge found that the Claimant is entitled to a reference letter confirming the period of employment and role and, where appropriate, a general statement on his performance and conduct during their time with the organisation. No order was issued in this regard.

j) **Medical Expenses:** the learned Judge found that the Defendant provided the Claimant with health insurance as required by Article 56 of DIFC Employment Law, and was not liable under DIFC law or the Contract to pay the additional expenses claimed by the Claimant for transportation to and from the hospital, and the costs of medication purchased following his injury.

k) **Additional Compensation:** the learned Judge found that the Claimant's claim for compensation related to unpaid overtime, improper work breaks, and illegal deduction of leave lacked sufficient supporting evidence and documentation necessary. In particular, there was an absence of the following:

- i. Clear time records or payslips substantiating claims of unpaid overtime;
- ii. Evidence demonstrating non-compliance with statutory or contractual break entitlements;
- iii. Documentation showing the deduction of annual leave without lawful basis or appropriate notice; and
- iv. Clear description of the number of days worked overtime.

l) **Role Change:** the Defendant denied it altered the Claimant's role and stated that it was the Claimant who requested a change in position, and that the Defendant agreed to this. The learned Judge found that the Claimant's continued performance in the role without protest from 19 June 2024 until the date of termination reinforced the conclusion that the role change was consensual as the Claimant's silence and continued work in the new role without objection amounted to implied acceptance of the revised terms in line with established employment law principles.

m) **Investigation:** the learned Judge found that the Claimant's serious allegations concerning an investigation into harassment and alleged cover-up by the HR department were entirely unsupported by evidence.

Claimant's Grounds of Appeal

8. The Claimant's grounds of appeal are set out below in full:

1. "Serious Error in the Application of Law:

- The judgment relied on unsubstantiated allegations (smoking / consumption of beverages) without any disciplinary actions, investigation, or warnings, in violation of DIFC Employment Law No. 2 of 2019, Articles 60 and 61.
- The Respondent's contradictory pleadings (regarding leave / absence / job role change) were accepted without scrutiny by the Court, despite the signed "Statement of Truth", violating Rules 22 and 29 of the DIFC Court Rules

2. Grave Procedural Irregularities:

- The Court ignored the following sequence of events:
- the Appellant's formal grievance on 21 September,

- the pressure to resign or transfer on 23 September,
- the denial of access to work without investigation on 26 September,
- and the lack of clear reasons for dismissal in the termination letter. All of which contravene Articles 60 and 63 of the DIFC Employment Law.
- The dismissal was a retaliatory act following the Appellant's official complaint, breaching Article 60 of the DIFC Employment Law.
- The Court failed to investigate the assault incident or compel the Respondent to produce CCTV footage, violating Part 28 of the DIFC Court Rules

3. Misjudgment of Workplace Injury:

- The Court incorrectly introduced the non-existent legal requirement of "permanent disability" as a condition for compensation, contrary to Article 55 of the DIFC Employment Law 2021.
- The Court unjustifiably described the injury as "minor" based solely on the Respondent's statements without properly reviewing the medical evidence or investigating employer negligence.
- The Appellant was wrongly burdened with medical costs, contrary to Article 37 of UAE Federal Law No. 33 of 2021.

4. Inconsistency in the Judgment Reasoning:

- The Court acknowledged the need to record incidents of dismissal and harassment in the employment record, yet rejected the compensation claim without justification, contradicting Part 36 of the DIFC Court Rules.
- The judgment was issued without attaching any updated end-of-service settlement records or notifying the Appellant after requesting clarification from the Respondent, violating procedural fairness.

5. Prejudicial Impact on the Appellant's Legal Position:

- The Court ignored the severe damages suffered by the Appellant due to the Respondent's failure to renew his visa during the ongoing dispute, despite the employer's obligation, in violation of Article 13 of UAE Federal Law No. 33 of 2021."

Applicable Principles for Permission to Appeal a Decision of the SCT

9. Pursuant to Article 21 of DIFC Law No. (2) of 2025 (pertaining to the DIFC Courts), judgments of the Small Claims Tribunal may be appealed before the Court of First Instance where the appeal relates to:

1. a question of law;
2. an allegation of a miscarriage of justice;
3. an issue of procedural fairness; or

4. a matter provided for in or under DIFC Laws.

10. Under Rule 53.87 of the Rules of the Dubai International Financial Centre Courts 2014 (the “RDC”), the “Court”, meaning the Court to which an appeal is made, will allow an appeal where the decision of the lower court was:

(1) wrong

(2) unjust because of a serious procedural or other irregularity in the proceedings; or

(3) wrong in relation to any other matter provided for or under any law.

11. Under RDC 53.89, an application for permission to appeal a decision of the SCT must be made to the Court of First Instance in a particular form, and under RDC 53.91, permission to appeal may only be granted by me as a judge of the Court of First Instance where:

(1) the Court considers that the appeal would have a real prospect of success; or

(2) there is some other compelling reason why the appeal should be heard.

12. Applying the test that the appeal would have a real prospect of success requires a prospective assessment. In short, an applicant must show that there is a real (i.e. realistic as opposed to fanciful) prospect of persuading an Appeal Court that the learned Judge of first instance in the Small Claims Tribunal was wrong in what she decided, or that the decision was unjust because of a serious procedural or other irregularity in the proceedings. This requirement must be satisfied by the grounds of appeal advanced, and any submissions showing how it is contended that the learned Judge erred in her findings and decision.

Applicable Provisions of DIFC Employment Law

13. I set out below the key provisions of DIFC Employment Law relevant to the Claimant’s claim:

a) Article 14 provides that an Employee shall have a right to a written contract including the Employee’s job title.

b) Articles 26, 32, 33 and 34 relate to an Employee’s right to breaks; leave on public holidays; sick leave; and, for Muslim Employees, special leave to perform the Hajj pilgrimage once during their period of employment.

c) Under Article 43, an Employer has a duty to ensure, as far as is reasonably practicable, the health, safety and welfare at work of all its Employees, and shall provide and maintain a workplace that is free of discrimination and victimisation.

d) Article 55 provides as follows:

“Where an Employee sustains an injury or dies as a result of an accident or illness arising out of or in the course of the Employee's employment with their Employer, and such accident or illness arose as a result of the Employer's negligence, the Employee may be entitled

damages of up to two (2) years' Annual Wage as determined by a Court, in accordance with the Law of Obligations and the Law of Damages and Remedies.”

e) Article 56 provides that an Employer is required to obtain and maintain health insurance cover for each of its Employees as may be required pursuant to Regulations issued by the Board of Directors of the DIFCA, Federal Law or Dubai Law.

f) Under Article 59, an Employer must not discriminate against an Employee regarding employment or any term or condition of employment on the grounds of the Employee's sex, marital status, race, nationality, age, pregnancy and maternity, religion or mental or physical disability (the “Protected Grounds”).

g) Under Article 60, an Employer must not victimise an Employee i.e. subject the Employee to a detriment, or dismiss him, because the Employee does a protected act, or the Employer believes the Employee has done, or may do, a protected act. A protected act includes bringing proceedings alleging discrimination against the Employer, or giving evidence or information in connection with such proceedings.

h) Pursuant to Article 63(1):

“An Employer or an Employee may terminate an Employee's employment with immediate effect for cause in circumstances where the conduct of one (1) party warrants termination and where a reasonable Employer or Employee would have terminated the employment as a consequence thereof.”

Analysis and Decision

14. Having considered all of the material and the submissions before the Court, including the oral submissions at the Hearing, I am satisfied that there is no realistic prospect of the Claimant persuading an Appeal Court that the learned Judge was wrong in her decision on the following aspects of the Claimant's Claim, or that there is some other reason why an appeal should be allowed:

a) **NOC:** there is clearly no legal or procedural barrier preventing the Claimant filing a formal complaint with the Dubai Police, and no requirement for a NOC from the Defendant.

b) **End of Service Gratuity:** it was not disputed by the Claimant at the Hearing that he is able to access his end of service gratuity of AED 3,787.46 DIFC through DIFC Employee Workplace Savings (DEWS), although he has not done so.

c) **Work-Related Injury:** whilst the Claimant produced photographs of what he claims was an unsafe environment, there was no clear evidence that his injury resulted from the negligence of the Defendant as required for a breach of Article 55 to be established.

d) **Harassment, Discrimination and Mistreatment:** the learned Judge rejected the Claimant's claim for damages on the basis that the Claimant failed to provide any evidence to substantiate either the existence of the Defendant's conduct, or its impact on him. She emphasised that in claims involving emotional distress or psychological harm, it is crucial to prove both the conduct

and the fact that it resulted in identifiable harm warranting compensation. I see no evidence on the record to prove these claims, and note that for a claim of discrimination under Article 59 of the DIFC Employment Law, there must be discrimination on the basis of one of the Protected Grounds. There is no suggestion by the Claimant that he was discriminated against on account of one of the Protected Grounds.

e) **Medical Expenses** : As found by the learned Judge, the Defendant provided the Claimant with health insurance as required by Article 56 of DIFC Employment Law, and was not liable under DIFC law or the Contract to pay the additional expenses claimed by the Claimant (e.g. for transportation to and from the hospital). However, the Defendant indicated at the Hearing that it has offered to cover these additional costs for the Claimant, and the Claimant is encouraged to take up that offer outside these proceedings.

f) **Role Change** : there is no evidence that the Claimant objected to the role of bartender, and it was not disputed that his salary was maintained at the same level as a server (which was the role stated in the Contract). Further, there is no evidence to counter the Defendant's indication that the Claimant was given an opportunity to work as a bartender at his request.

15. However, I consider that there is a prospect of an Appeal Court finding that the learned Judge was wrong to hold that the Defendant's termination of the Claimant with cause was justified. The reasons are as follows:

a) The Defendant must substantiate with evidence why the Claimant's conduct warranted termination and that a reasonable Employer would have terminated the employment as a consequence, pursuant to Article 63 of DIFC Employment Law.

b) The Defendant provided 3 reasons for terminating the Claimant:

i. In relation to the Claimant's alleged unauthorised absences from work, the Claimant's absence from work on 25 September was a trigger for the Defendant's termination of the Claimant. The Judgment acknowledged that there was a misunderstanding between the Claimant and the Defendant as to whether he was required to be at work on 25 September, and yet found that his absence from work on 25 September (and not being in Dubai that day) formed part of his conduct warranting immediate termination.

ii. Whilst evidence was adduced relating to the Claimant's smoking in a non-authorised area, no evidence was tendered in relation to the allegation that the Claimant was consuming beverages intended for hotel guests.

c) The Defendant contends that the Claimant was on a "Final Warning" when he was terminated, but no evidence was put forward to substantiate this. The Claimant relies upon evidence suggesting that his "Final Warning" from the Defendant was issued after he was terminated on 27 September 2025.

16. In relation to the Claimant's claims for Additional Compensation and Holiday Leave, it was very difficult to follow the Defendant's explanation of the final settlement due to the Claimant following his termination. In any event, the final settlement owed to the Claimant would depend on whether his termination for cause was justified, and whether he was entitled to one month's notice period.

17. Further, the Claimant's following claims would be impacted by whether or not his termination with cause was justified:

- a. Notice Period;
- b. Visa and Emirates ID; and
- c. Employment Record.

18. In relation to the Claimant's serious allegations concerning an investigation into harassment and alleged cover-up by the HR department, the learned Judge found that these allegations were entirely unsupported by evidence. However, the evidence relating to the allegations was in the possession of the Defendant, and the Claimant had requested before the SCT that the Defendant disclose its report into the allegations, and the surveillance footage of the incident complained about (although it appears that no formal application had been sought in this regard).

19. In my view, fairness requires that the Claimant's Permission to Appeal Application be granted to the limited extent I have referred to above, for the reasons I have set out above.

20. As found in *Miqal v Merani* [2023] DIFC CFI 041 (11 September 2023), the Judge deciding the Claimant's Appeal may determine that fresh evidence be introduced on appeal, and further directions will be handed down by the Court in due course.